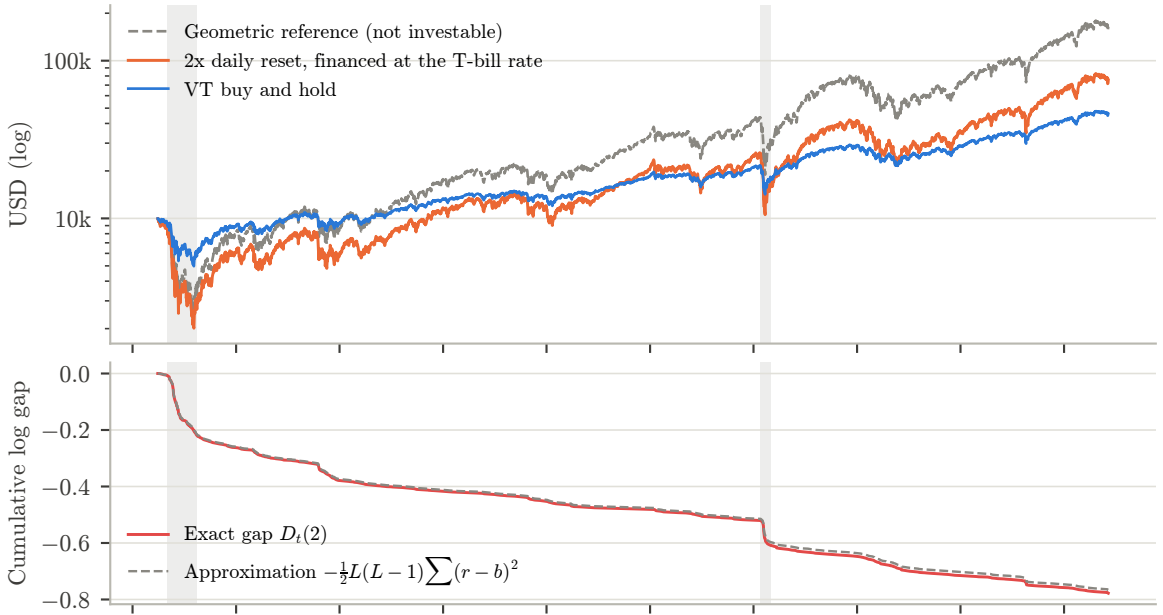

Geometric reference (not investable)
2x daily reset, financed at the T-bill rate
VT buy and hold
USD (log)
100k
10k
Cumulative log gap
0.0
−0.2
−0.4
−0.6
−0.8
Exact gap $D_t(2)$
Approximation $-\frac{1}{2}L(L-1)\sum(r-b)^2$
2008
2010
2012
2014
2016
2018
2020
2022
2024
2026